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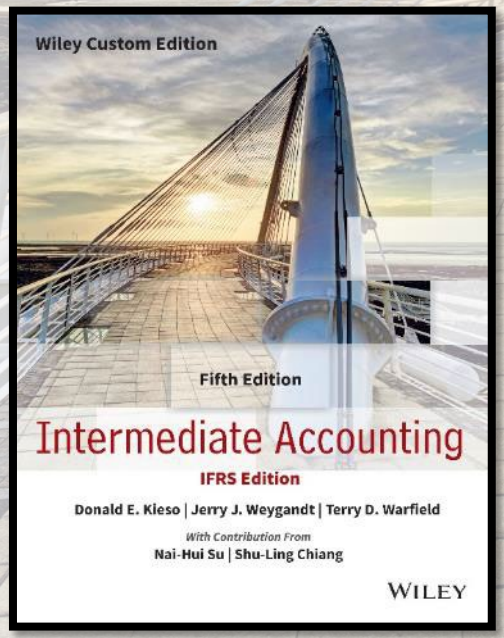
WILEY

Intermediate Accounting IFRS Edition

Kieso, Weygandt, Warfield

Fifth Edition

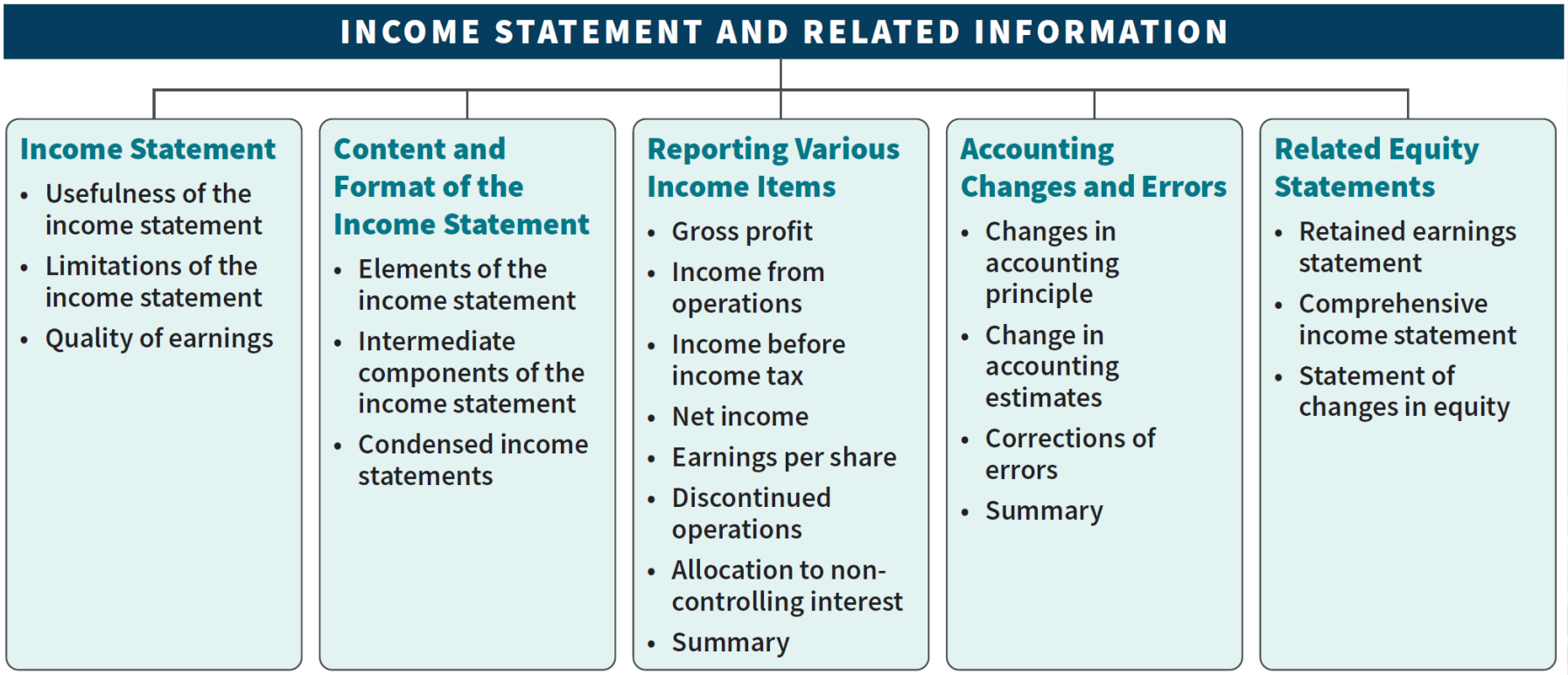
Chapter 2



Income Statement and Related Information

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PREVIEW OF CHAPTER 2

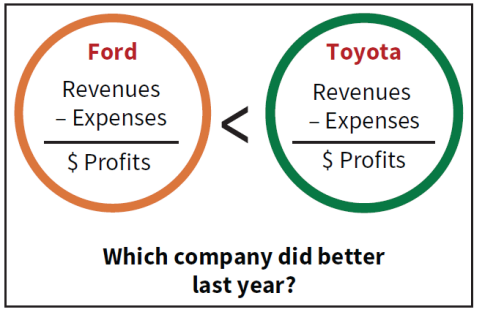


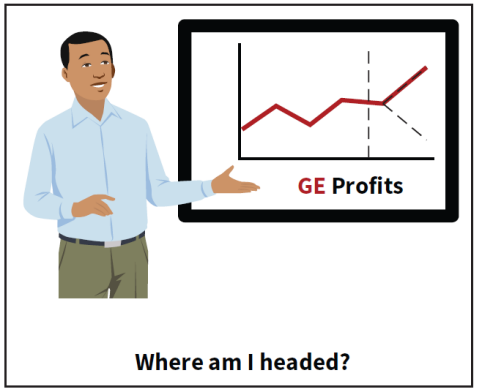
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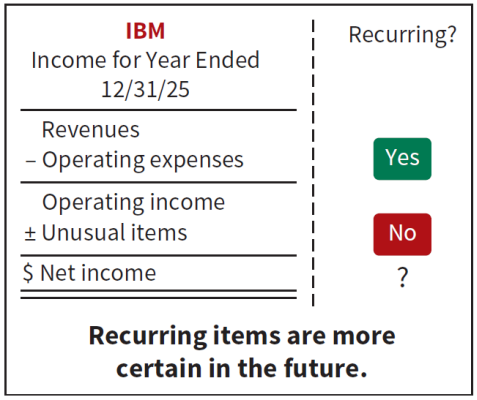
Income Statement

Usefulness

- Evaluate past performance.
- Predicting future performance.
- Help assess the risk or uncertainty of achieving future cash flows.







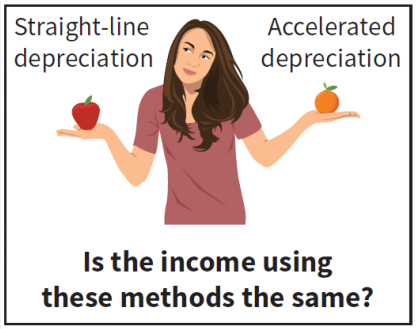
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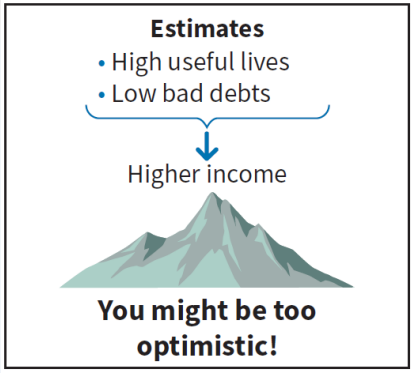
Income Statement

Limitations

- Companies omit items that cannot be measured reliably.
- Income numbers are affected by the accounting methods employed.
- Income measurement involves judgment.







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Income Statement

Quality of Earnings

Companies have incentives to **manage income**

- to meet earnings targets or
- to make earnings look less risky.

Earnings management is the planned timing of revenues, expenses, gains, and losses to smooth out earnings.

Quality of earnings is reduced if earnings management results in information that is less useful for predicting future earnings and cash flows.

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Elements of the Income Statement

Income

Income – Increases in economic benefits during the accounting period in the form of

- inflows or enhancements of assets or
- decreases of liabilities

that result in increases in equity, other than those relating to contributions from shareholders.

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Elements of the Income Statement

Income Accounts

Income includes both revenues and gains.

- **Revenues** - ordinary activities of a company
- **Gains** - may or may not arise from ordinary activities.

Revenue Accounts

- Sales
- Fees
- Interest
- Dividends
- Rent

Gain Accounts

- Gains on the sale of long-term assets
- Unrealized gains on trading securities

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Elements of the Income Statement

Expenses

Expenses represent decreases in economic benefits during the accounting period in the form of

- outflows or depletions of assets or
- incurrences of liabilities

that result in decreases in equity, other than those relating to distributions to shareholders.

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Elements of the Income Statement

Expense Accounts

Expenses include both expenses and losses.

- **Expenses** - ordinary activities of a company
- **Losses -** may or may not arise from ordinary activities.

Expense Accounts

- Cost of goods sold
- Depreciation
- Interest
- Rent Salary and wages
- Taxes

Loss Accounts

- Losses on restructuring charges
- Losses on to sale of long-term assets
- Unrealized losses on trading securities

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Income Statement

Intermediate Components

Companies generally present some or all of these sections and totals within the income statement.

1. Sales or Revenue
2. Cost of Goods Sold

Gross Profit

3. Selling Expenses
4. Administrative or General Expenses
5. Other Income and Expense

Income from Operations

6. Financing costs

Income before Income Tax

7. Income Tax

Income from Continuing Operations

8. Discontinued Operations

Net Income

9. Non-Controlling Interest
10. Earnings Per Share

ILLUSTRATION 2.1

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Format of the Income Statement

Boc Hong Company
Income Statement
For the Year Ended December 31, 2026

Sales			
Sales revenue			$3,053,081
Less: Sales discounts		$ 24,241	
Sales returns and allowances		56,427	80,668
Net sales			2,972,413
Cost of goods sold			1,982,541
Gross profit			989,872
Selling expenses			
Sales salaries and commissions	$202,644		
Sales office salaries	59,200		
Travel and entertainment	48,940		
Advertising expense	38,315		
Delivery expense	41,209		
Shipping supplies and expense	24,712		
Postage and stationery	16,788		
Telephone and Internet expense	12,215		
Depreciation of sales equipment	9,005	453,028	
Administrative expenses			
Officers' salaries	186,000		
Office salaries	61,200		
Legal and professional services	23,721		
Utilities expense	23,275		
Insurance expense	17,029		
Depreciation of building	18,059		
Depreciation of office equipment	16,000		
Stationery, supplies, and postage	2,875		
Miscellaneous office expenses	2,612	350,771	803,799
Other income and expense			
Dividend revenue		98,500	
Rent revenue		42,910	
Gain on sale of plant assets		30,000	171,410
Income from operations			357,483
Interest on bonds and notes			126,060
Income before income tax			231,423
Income tax			66,934
Net income for the year			$ 164,489
Attributable to:			
Shareholders of Boc Hong			$ 120,000
Non-controlling interest			44,489
Earnings per share			$1.74

ILLUSTRATION 2.2

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Condensed Income Statement

- More representative of the type found in practice.

Boc Hong Company
Income Statement
For the Year Ended December 31, 2026

Net sales		$2,972,413
Cost of goods sold		1,982,541
Gross profit		989,872
Selling expenses (see Note D)	$453,028	
Administrative expenses	350,771	803,799
Other income and expense		171,410
Income from operations		357,483
Interest expense		126,060
Income before income tax		231,423
Income tax		66,934
Net income for the year		$ 164,489
Attributable to:		
Shareholders of Boc Hong		$ 120,000
Non-controlling interest		44,489
Earnings per share		$ 1.74

ILLUSTRATION 2.3

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Sample Supporting Schedule

- Company prepares supplementary schedules to support the totals.

Note D: Selling expenses	
Sales salaries and commissions	$202,644
Sales office salaries	59,200
Travel and entertainment	48,940
Advertising expense	38,315
Delivery expense	41,209
Shipping supplies and expense	24,712
Postage and stationery	16,788
Telephone and Internet expense	12,215
Depreciation of sales equipment	9,005
Total selling expenses	$453,028

ILLUSTRATION 2.4

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Reporting Various Income Items

Gross Profit

- Computed by deducting cost of goods sold from net sales.
- Provides a useful number for evaluating performance and predicting future earnings.

Unusual or incidental revenues are disclosed in other income and expense.

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Reporting Various Income Items

Income from Operations

- Determined by deducting selling and administrative expenses as well as other income and expense from gross profit.
- Highlights items that affect regular business activities.
- Used to predict the amount, timing, and uncertainty of future cash flows.

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Gains and Losses

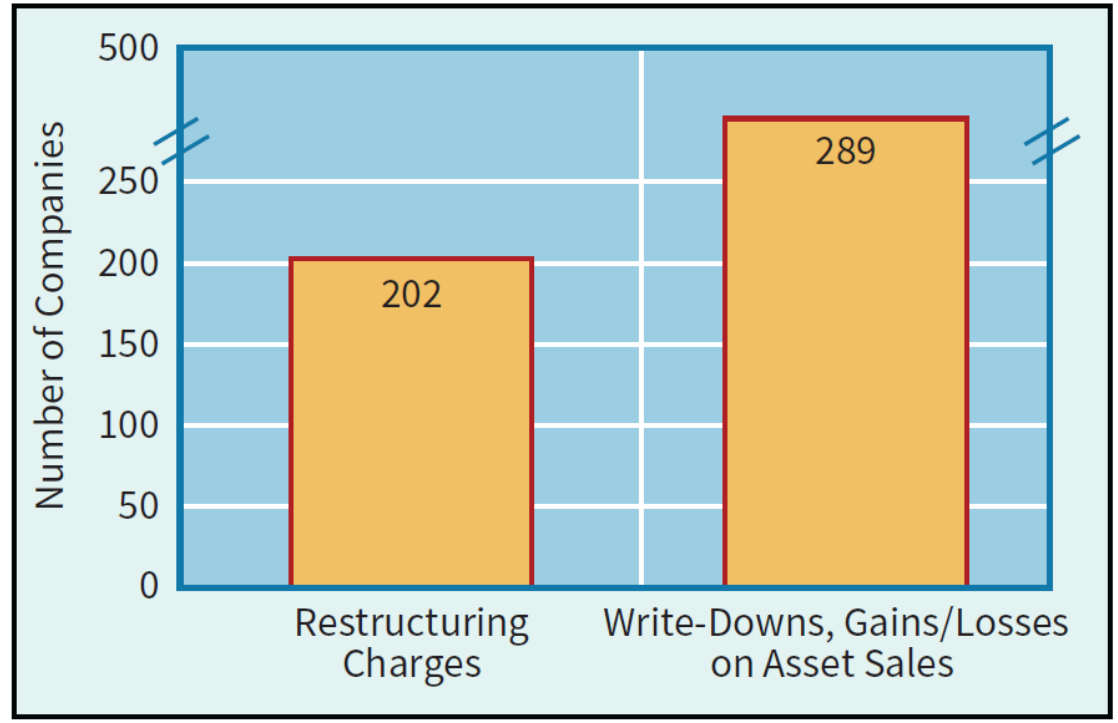


ILLUSTRATION 2.7

ILLUSTRATION 2.7 identifies the most common types and number of gains and losses reported in a survey of 500 large companies. Notice that more than 40% of the surveyed firms reported restructuring charges, which often contain write-offs and other one-time items.

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IASB'S Position on Gains and Losses

IASB takes the position that both

- revenues and expenses and
- other income and expense

should be reported as part of income from operations.

Companies can provide additional line items, headings, and subtotals when such presentation is relevant to an understanding of the entity's financial performance.

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Gains and Losses

Additional Items That May Need Disclosure

- Losses on write-downs of inventories to net realizable value or of property, plant, and equipment to recoverable amount, as well as reversals of such write-downs.
- Losses on restructurings of the activities and reversals of any provisions for the costs of restructuring.
- Gains or losses on the disposal of items of property, plant, and, equipment or investments.
- Litigation settlements.
- Other reversals of liabilities.

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Reporting Various Income Items

Net Income

Represents the income after **all**

- revenues and
- expenses

for the period are considered.

Viewed by many as the most important measure of a company's success or failure for a given period of time.

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Reporting Various Income Items

Earnings per Share

$$\frac{\text{Net Income} - \text{Preference Dividends}}{\text{Weighted-Average Number of Ordinary Shares Outstanding}} = \text{Earnings per Share}$$

- A significant business indicator.
- Measures the dollars earned by each ordinary share.
- Must be disclosed on the face of the income statement.

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Reporting Various Income Items

Discontinued Operations

A component of an entity that either has been disposed of, or is classified as held-for-sale, and:

1. Represents a major line of business or geographical area of operations, or
2. Is part of a single, co-coordinated plan to dispose of a major line of business or geographical area of operations, or
3. Is a subsidiary acquired exclusively with a view to resell.

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Components of Discontinued Operations

Companies report as discontinued operations

1. (in a separate income statement category) the gain or loss from disposal of a component of a business.
2. The results of operations of a component that has been or will be disposed of separately from continuing operations.
3. The effects of discontinued operations net of tax as a separate category, after continuing operations.

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Earnings per Share Amounts on Income Statement

A company that reports a discontinued operation must report per share amounts for the line item either on the face of the income statement or in the notes to the financial statements.

Poquito Industries SA
Income Statement
For the Year Ended December 31, 2026

Sales revenue		R$1,420,000
Cost of goods sold		600,000
Gross profit		820,000
Selling and administrative expenses		320,000
Other income and expense		
Interest revenue	R$ 10,000	
Loss on disposal of part of Textile Division	5,000	
Loss on sale of investments	30,000	(25,000)
Income from operations		475,000
Interest expense		15,000
Income before income tax		460,000
Income tax		184,000
Income from continuing operations		276,000
Discontinued operations		
Income from operations of Pizza Division, less applicable income tax of R$24,800	54,000	
Loss on disposal of Pizza Division, less applicable income tax savings of R$41,000	90,000	(36,000)
Net income		R$ 240,000
Per share		
Income from continuing operations		R$2.76
Income from operations of discontinued division, net of tax		0.54
Loss on disposal of discontinued operation, net of tax		0.90
Net income		R$2.40

ILLUSTRATION 2.11

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Reporting Various Income Items

Intraperiod Tax Allocation

Relates the income tax expense to the **specific items** that give rise to the amount of the tax provision.

On the income statement, income tax is allocated to:

1) Income from continuing operations
2) Discontinued operations

“let the tax follow the income”

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Summary of Various Income Items (1 of 2)

Type of Situation	Criteria	Examples	Placement on Income Statement
Sales or service revenues	Revenues arising from the ordinary activities of the company.	Sales revenue, service revenue.	Sales or revenue section.
Cost of goods sold	Expense arising from the cost of inventory sold or services provided.	In a merchandising company, cost of goods sold; in a service company, cost of services.	Deduct from sales (to arrive at gross profit) or service revenue.
Selling and administrative expenses	Expenses arising from the ordinary activities of the company.	Sales salaries, Freight-out, Rent, Depreciation, Utilities.	Deduct from gross profit; if the function-of-expense approach is used, depreciation and amortization expense and labor costs must be disclosed.
Other income and expense	Gains and losses and other ancillary revenues and expenses.	Gain on sale of long-lived assets, Impairment loss on intangible assets, Investment revenue, Dividend and Interest revenue, Casualty losses.	Report as part of income from operations.
Financing costs	Separates cost of financing from operating costs.	Interest expense.	Report in a separate section between income from operations and income before income tax.
Income tax	Levies imposed by governmental bodies on the basis of income.	Taxes computed on income before income tax.	Report in separate section between income before income tax and net income.

ILLUSTRATION 2.16

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Summary of Various Income Items (2 of 2)

Type of Situation	Criteria	Examples	Placement on Income Statement
Earnings per share	Must be reported on the face of the income statement.	Net income minus preference dividends divided by weighted average of ordinary shares outstanding.	Report separate EPS for income from continuing operations (if applicable) and net income.
Discontinued operations	A component of a company that has either been disposed of or is classified as held-for-sale.	A sale by a diversified company of a major division representing its only activities in the electronics industry. Food distributor that sells wholesale to supermarkets decides to discontinue the division in a major geographic area.	Report gains or losses on discontinued operations net of tax in a separate section between income from continuing operations and net income.
Non-controlling interest	Allocation of net income or loss divided between two classes: (1) the majority interest represented by the shareholders who own the controlling interest, and (2) the non-controlling interest.	Net income (loss) attributable to non-controlling shareholders.	Report as a separate item below net income or loss as an allocation of the net income or loss (not as an item of income or expense).

ILLUSTRATION 2.16

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Accounting Changes and Errors

Changes in Accounting Principle

- Retrospective adjustment.
- Cumulative effect adjustment to beginning retained earnings.
- Approach preserves comparability across years.
- Examples include:
  - Change from FIFO to average-cost.
  - Change from the percentage-of-completion to the completed-contract method.

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Accounting Changes

Change in Accounting Estimates

- Accounted for in the period of change or the period of and the future periods if the change affects both.
- Not handled retrospectively.
- Not considered errors.
- **Examples** include:
  - Useful lives and residual values of depreciable assets.
  - Uncollectible receivables.
  - Inventory obsolescence.

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Accounting Errors

Corrections of Errors

- Result from:
  - mathematical mistakes.
  - mistakes in application of accounting principles.
  - oversight or misuse of facts.
- Corrections treated as **prior period adjustments.**
- Adjustment to the beginning balance of retained earnings.

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Summary of Accounting Changes and Errors

Type of Situation	Criteria	Examples	Placement on Income Statement
Changes in accounting policy	Change from one generally accepted accounting policy to another.	Change in the basis of inventory pricing from FIFO to average-cost.	Recast prior years' income statements on the same basis as the newly adopted policy. (**Shown net of tax.**)
Changes in accounting estimates	Normal, recurring corrections and adjustments.	Changes in the realizability of receivables and inventories; changes in estimated lives of equipment, intangible assets; changes in estimated liability for warranty costs, income taxes, and salary payments.	Show change only in the affected accounts in current and future periods. (**Not shown net of tax.**)
Corrections of errors	Mistake, misuse of facts.	Error in reporting income and expense.	Treat as prior period adjustment; restate prior years' income statements to correct for error. (**Shown net of tax.**)

ILLUSTRATION 2.19

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Related Equity Statements

Retained Earnings Statement

Increase

- Net income
- Change in accounting principles
- Prior period adjustments

Decrease

- Net loss
- Dividends
- Change in accounting principles
- Prior period adjustments

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Retained Earnings Statement

Restrictions on Retained Earnings

Disclosed

- In notes to the financial statements.
- As **Appropriated Retained Earnings.**

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Related Equity Statements

Comprehensive Income

All changes in equity during a period *except* those resulting from investments by owners and distributions to owners.

Includes:

- all revenues and gains, expenses and losses reported in net income, and
- all gains and losses that bypass net income but affect equity.

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Comprehensive Income

Companies must display the components of other comprehensive income in one of two ways:

1. A single continuous statement (**one statement approach**) or
2. two separate, but consecutive statements of net income and other comprehensive income (**two statement approach**).

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Comprehensive Income

One Statement Approach

- **Advantage** – does not require the creation of a new financial statement.
- **Disadvantage -** net income buried as a subtotal on the statement.

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Comprehensive Income

One Statement Approach

Gill SpA
Statement of Comprehensive Income
For the Year Ended December 31, 2026

Sales revenue	€800,000			
Cost of goods sold	600,000			
Gross profit	200,000			
Operating expenses	90,000			
Net income	110,000	Accumulates in →	Retained Earnings	Permanent accounts reported on statement of financial position
Other comprehensive income				
Unrealized holding gain, net of tax	30,000	Accumulates in →	Accumulated Other Comprehensive Income	
Comprehensive income*	€140,000			

*Excludes investments by owners (sale of ordinary shares) and distribution to owners (payment of dividends)

ILLUSTRATION 2.21

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Comprehensive Income

Two Statement Approach

- Reporting comprehensive income in a separate statement indicates that the gains and losses identified as other comprehensive income have the same status as traditional gains and losses.

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Comprehensive Income

Two Statement Approach

Gill SpA
Income Statement
For the Year Ended December 31, 2026

Sales revenue	€800,000
Cost of goods sold	600,000
Gross profit	200,000
Operating expenses	90,000
Net income	€110,000

Accumulates in → Retained Earnings

Gill SpA
Comprehensive Income Statement
For the Year Ended December 31, 2026

Net income	€110,000
Other comprehensive income	
Unrealized holding gain, net of tax	30,000
Comprehensive income	€140,000

Accumulates in → Accumulated Other Comprehensive Income

Permanent accounts reported on statement of financial position

ILLUSTRATION 2.22

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Related Equity Statements

Statement of Changes in Equity

Required, in addition to a statement of comprehensive income.

- Generally comprised of
  - Share capital—ordinary,
  - Share premium—ordinary,
  - Retained earnings, and the
  - Accumulated balances in other comprehensive income.

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Statement of Changes in Equity

Reports the change in each equity account and in total equity for the period. Includes the following:

1. Accumulated comprehensive income for the period.
2. Contributions (issuances of shares) and distributions (dividends) to owners.
3. Reconciliation of the carrying amount of each component of equity from the beginning to the end of the period.

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Presentation of Accumulated Other Comprehensive Income in the Statement of Financial Position

- Regardless of the display format used, Gill reports the **accumulated other comprehensive income** of €90,000 in the equity section of the statement of financial position as follows.

Gill SpA
Statement of Financial Position
As of December 31, 2026
(Equity Section)

Equity	
Share capital—ordinary	€300,000
Retained earnings	150,000
Accumulated other comprehensive income	90,000
Total equity	€540,000

ILLUSTRATION 2.24

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